

TESLA

You are working for a large investment advisor and have been asked for a memo analyzing the Tesla's Cash Build and Cash Burn between 2010 and 2012 and providing a recommendation for using Debt or Equity to meet cash needs.

Business Analysis

First, Focus on the Tesla business, leaving finance aside as much as possible.

- 1) Describe the business in which Tesla operates. What kind of Key Performance Indicators (KPIs) might you recommend from an *operational* standpoint (think about where you might find operational information on the Financial Statements).
- 2) Identify 3 companies you will use as comps for your analysis based on Exhibit 7, and explain why these are the relevant comps.

Financial Analysis

- 1) Calculate the Cash burn, cash build and net cash burn for 2011 and 2012. Show and explain your findings.
- 2) Using the Statement of 2010-2012 Cash Flows, Cash Flows from Operations explore the trend in A/R and explain whether or not you are concerned
- 3) Using the 2010-2012 Statement of Cash Flows, Cash Flows from Investing Activities, Evaluate the Purchases of PP&E, show and explain the trend. Do you support this trend? Why/Why Not?
- 4) Using the 2010-2012 Statement of Cash Flows, Cash Flows from Financing Activities, evaluate the proceeds from issuance of common stock and from long term debt, show and explain the trend.
- 5) What is the Equity Multiplier in 2011 and 2012. As a shareholder, would you be happy with this? Why or Why not?
- 6) Now look at the Balance Sheet and calculate the Current Ratio for 2011 and 2012. Calculate and give the implications of your findings.

****for 3, 4 and 5 above, by EXPLAIN you should provide context (like relative to Revenue, for example)**

Your Recommendation

Based on your analysis above, does Tesla need additional cash?

Can they rely on Retained Earnings?

If you decide additional cash is needed, explain WHY, how you will use it, and whether you recommend Debt or Equity.

Your Memo should be 3-5 pages, plus tables and exhibits. Please submit your Memo and corresponding Excel Sheet to canvas.